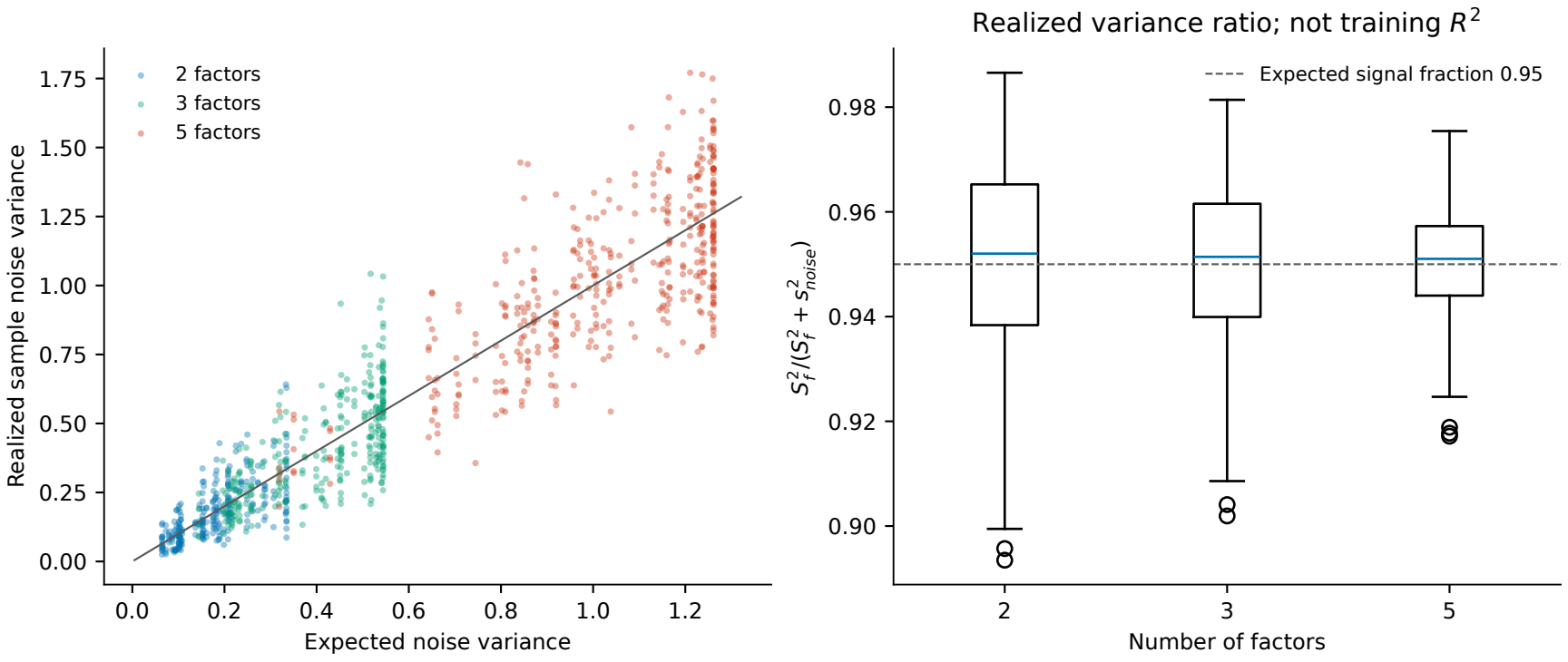
2 factors
3 factors
5 factors
Realized sample noise variance
Expected noise variance
0.00
0.25
0.50
0.75
1.00
1.25
1.50
1.75
0.0
0.2
0.4
0.6
0.8
1.0
1.2
Realized variance ratio; not training R^2
Expected signal fraction 0.95
$S_f^2/(S_f^2 + s_{noise}^2)$
0.90
0.92
0.94
0.96
0.98
2
3
5
Number of factors